

0452 | PAPER 2

TOPIC 03

Verification of accounting records

FULL ANSWER GUIDE | 2021-2025

18 indexed questions • 360 total marks

Independently reformatted and rewritten for study. Original examination questions are not reproduced.

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How to use: open the matching question in the topical bank, attempt it first, then compare with the answer guide below. Standard accounting terms and figures are retained; explanatory points are shortened and independently worded.

3.2 Correction of errors

Question 01 | Feb/Mar 2021 Paper 22 Question 3 - 20 marks

3(a) The suspense account balance is entered on the trial balance

Definition: means equal debits credits trial balance

3(b) Rachel 11

Error number	Details	Journal	Debit \$	Credit \$
	Premises repairs		220	
	Premises			220
	Motor vehicles		3400	
	Neil's Wheels			3400
	Sales		100	
	Purchases			100
	Sales returns		19	
	Suspense			19
	Suspense		50	
5	Bank interest received			25
	Bank charges			25

3(c)(i) Error 3.

3(c)(ii) Error 2.

3(d)

Error number	Gross Profit			Profit for the year		
	No effect	Understated \$	Overstated \$	No effect	Understated \$	Overstated \$
1	☐					220
2	☐			☐		
3	☐			☐		
4			19			19
5	☐				50	

3(e) The accounting records may contain other errors which have not yet been found

END OF ANSWER

Question 02 | May/June 2021 Paper 22 Question 5 - 20 marks

5(a)

Error	Entries required to correct the error			
	Debit		Credit	
	Account	\$	Account	\$
Cash drawings, \$200, had been omitted from the drawings account.	Drawings	200	Suspense	200
A petty cash book payment, \$31, to Abel, a supplier, had been recorded in the column for office expenses.	Abel	31	Office expenses	31
Sales returns, \$105, had been correctly entered in the customer's account but had been credited to the purchases returns account.	Sales returns Purchases returns	105 105	Suspense	210
A payment for motor expenses, \$72, had been recorded in the motor expenses account as \$172.	Suspense	100	Motor expenses	100
A purchase invoice, \$102, from Abel, had been debited to Abel and credited to purchases.	Purchases	204	Abel	204

5(b) Kia

Suspense account

Date 2021	Details	\$	Date 2021	Details	\$
April 30	Trial balance difference	100	310 April 30	Drawings	200
	Motor expenses	100		Sales returns	105
				Purchases returns	105
					410
					410

5(c) \$

Original balance	327
Purchases	204
Office expenses	(31)
Corrected balance	5000F

5(d) The principle of materiality was applied.

The cost of the calculator was an immaterial amount

Risk: cost recording calculator non current asset outweighed benefit

The amount of depreciation would be insignificant

The calculator may not last over 12 months

END OF ANSWER

Question 03 | Oct/Nov 2021 Paper 21 Question 3 - 20 marks

3(a) Anil 12

Journal				
Error	Details	Debit \$	Credit \$	
1	Suspense Sales	7100	7100	
2	Sales returns Purchases Suspense	520 520	1040	
	OR Sales returns Suspense Purchases Suspense	520 520 520	520 520	
3	Bank charges Suspense	320	320	
4	Bank Suspense Insurance	1200	600 600	
	OR Bank Suspense Suspense Insurance	1200 600	1200 600	

3(b) Anil

		Suspense account			
Date	Details	\$	Date	Details	\$
	Sales	7100		Difference on trial balance	5140
				Sales returns	520
				Purchases	520
				Bank charges	320
				Bank	600
		<u>7100</u>			7100

Key point: matching totals own balance brought down

Key point: Alternative presentation used journal entry error 4 3

Date	Details	\$	Date	Details	\$
	Sales	7100		Difference on trial balance	5140
	Insurance	600		Sales returns	520
				Purchases	520
				Bank charges	320
				Bank	1200
		7700			7700

3(c) Commission, compensating, complete reversal, omission, original entry, principle

Any 2 × 1 mark

END OF ANSWER

Question 04 | Oct/Nov 2021 Paper 22 Question 4 - 20 marks

4(a) Nikita

Journal				
Error	Details	Debit \$	Credit \$	
1	Suspense Insurance	2000	2000	
2	Suspense Discount received Discount allowed	1000	500 500	
3	Kajal Suspense	400	400	
4	Aisha Anisah	700	700	

4(b) Nikita

Suspense account					
Date	Details	\$	Date	Details	\$
	Insurance	2 000		Difference on trial balance	2 600
	Discount received	500		Kajal	400
	Discounts allowed	500			
		3 000			3 000

4(c) Nikita

Key point: Statement corrected profit year ended 30 June 2021

Profit for the year before corrections			\$
			28 000
	Increase in profit \$	Decrease in profit \$	
Error 1	2 000	-	
Error 2	1 000	-	
Error 3	no effect	-	
Error 4	no effect 3 000	-	
			3 000
Corrected profit for the year			31 000 OF

END OF ANSWER

Question 05 | May/June 2022 Paper 22 Question 3 - 20 marks

3(a) Mosi 11

Journal				
Error number	Details	Debit \$	Credit \$	
1	Suspense Discount received Commission received	192	96	
2	Sales Suspense	927	927	
3	Motor expenses Bank	77	77	
4	Petty cash Bank	135	135	
5	Stacey Tracey	160	160	

3(b) Mosi

Suspense account					
Date	Details	\$	Date	Details	\$
2022 Apr 30	Difference on trial balance OF	735	2022 Apr 30	Sales OF	927

Discount received	96		
Commission received	96		
		927	927

3(c) Mosi

Calculation of corrected profit			
	-	+	
	\$	\$	\$
Original profit			39 970
Discount received		96	
Commission received		96	192
Sales	9270F		
Motor expenses	77		(1 004)
Corrected profit for the year			39 1580F

END OF ANSWER

Question 06 | Feb/Mar 2023 Paper 22 Question 2 - 20 marks

2(a) Rai

Error		Journal		Debit	Credit
number	Details			\$	\$
1	Wages Suspense			200	200
2	Purchases Stella			494	494
3	Sales Rent			100	100
4	Suspense Motor expenses			75	75
5	Jasper Suspense			27	27

2(b) Rai

Date		Details		\$	Date	Details		\$
2023					2023			
Jan 31	Difference on trial balance	152	Jan 31	Wages	200			
	Motor expenses	75	Jasper	27				
				227				227

2(c) \$ \$

Draft profit	9 800	
Error 1	(200)	
Error 2	(494)	(694)
		9 106
Error 4		75
Corrected profit		9 1810F

2(d)(i) Assist in the preparation of financial statements

2(d)(ii) Opening entries

Purchase of non-current assets on credit
 Sale of non-current assets on credit
 Non-regular transactions
 Year-end transfers to income statement
 Recording depreciation
 Writing off irrecoverable debts
 Creation of/adjustment to provision for doubtful debts
 Contra entries between sales and purchases ledgers
 Drawings of goods/non-current assets

END OF ANSWER

Question 07 | May/June 2023 Paper 21 Question 3 - 20 marks

3(a) Entries required to correct the error

Error	Account	Debit	\$	Account	Credit	\$
A payment for rent, \$300, had been						

debited to the insurance account.	Rent paid	300	Insurance	300
Sales to Raymond of \$105, had been debited to the sales account and credited to Raymond's account.	Raymond	210	Sales	210
Eshe's total drawings from the bank for her own use, \$9 500, had been debited to the cash account.	Drawings	9 500	Cash	9 500
A purchases invoice from Danika for \$137, had been recorded in her account and in the purchases journal as \$173.	Danika	36	Purchases	36
Returns inwards, \$44, had not been recorded in the returns inwards account.	Returns inwards	44	Suspense	44
The motor expenses account had been overcast by \$100.	Suspense	100	Motor expenses	100

3(b) Eshe

Suspense account					
Date	Details	\$	Date	Details	\$
2023			2023		
Mar 31	Motor expenses	100	Mar 31	Difference on trial balance	56
		100		Returns inwards	44
					100

OF

3(c) Calculation of closing capital

	\$	\$	\$
Capital at 1 April 2022			31 000 }
Draft profit		15 600	}
Add Sales invoice	210		
Purchases invoice	36		
Motor expenses	100	346	
		15 946	
Less Returns inwards		44	15 902
			46 902
Less Drawings			9 500
Capital at 31 March			37 4020F

END OF ANSWER

Question 08 | May/June 2023 Paper 22 Question 2 - 20 marks

2(a) Ramla

Journal				
Item number	Details	Debit \$	Credit \$	
1	Irrecoverable debts Mai	99	99	
2	Fixtures and fittings Padma	875	875	
3	Loan Loan interest	500	500	
4	Bank / cash Rent	180	180	
5	Drawings Wages	120	120	

2(b)

Item	Increase in profit \$	Decrease in profit \$	No effect on profit	Profit \$
Draft profit				11 650
1		99		
2			0	
3	500			
4	180			
5	120			
Adjusted profit	800	99	0	12 3510F

2(c)(i) The prudence principle states that profits and assets are not overstated / losses and liabilities are not understated

Decision point: Irrecoverable debts written off ensure profits assets overstated understate loss

2(c)(ii) The business entity principle states that the business is regarded as being completely separate from the owner of the

business
OR

Decision point: entity principle states transactions recorded view

Decision point: Drawings recorded correctly ensure profits understated capital overstated

END OF ANSWER

Question 09 | Oct/Nov 2023 Paper 22 Question 4 - 20 marks

4(a)

		Entries required to correct the error			
		Debit		Credit	
Error	Account	\$	Account	\$	
A payment for rent, \$350, had been debited to the wages account.	Rent payable	350	Wages	350	
The sales journal for September had been overcast by \$90.	Sales	90	Suspense	90	
Sales returns, \$110, had been recorded as purchases returns.	Purchases returns	110	Suspense	220	
A payment for office expenses, \$18, had been recorded in the office expenses account as \$81.	Sales returns	110			
A petty cash book payment, \$29, to Cole, a supplier, had been recorded in the column for motor expenses.	Suspense	63	Office expenses	63	
	Cole	29	Motor expenses	29	

4(b) Rachel

Date	Details		Suspense account			\$
			\$	Date	Details	
2023				2023		
Sep 30	Difference on trial balance	247		Sep 30	Sales	90
	Office expenses	63	Purchases returns	110		
			Sales returns	110		
			310			310

4(c) \$ \$

Draft profit		18 243
Add:		
Office expenses	63	
Motor expenses	29	92
		18 335
Less:		
Sales	90	
Purchases returns	110 }	
Sales returns	110 }	(310)
Corrected profit		18 0250F

4(d) Financial statements can still be reliable if errors are present provided those errors are not material or significant

END OF ANSWER

Question 10 | May/June 2024 Paper 23 Question 3 - 20 marks

3(a)(i) Bank statement

3(a)(ii) Error 4

3(b) Akil

Error number	Journal Details	Debit		Credit	
		\$		\$	

1	Sales returns	3 416	
	Sales		3 416
2	Insurance (115 ÷ 2)	230	
	Suspense		230
3	Discount received	47	
	Discount allowed	47	
	Suspense		94

3(c)(i) Shows that all the errors have not yet been found/corrected

3(c)(ii) Akil

Date		Details		Suspense account		Details		
2024				\$				\$
Feb 29		Difference on Trial balance		385 Feb 29		Insurance		
		Purchases		Discount received		} 47		
		90				Discount allowed		47
						Balance c/d		151
								475
March 1		Balance b/d0F						
		151						
		\$		\$		\$		
		Plus		Minus				
Original draft profit						17 420		
Error 4		52						
Error 5		90						
Error 2				230				
Error 3				94				
		142		324		(182)		
Draft profit after corrections						17 2380F		

END OF ANSWER

3.3 Bank reconciliation

Question 01 | May/June 2021 Paper 21 Question 1 - 20 marks

1(a) Rahat 11

Cash Book									
Date	Details	Disc.	Cash	Bank	Date	Details	Disc.	Cash	Bank
2021		\$	\$		2021		\$	\$	\$
Mar 1	Balance b/d		150		Mar 1	Balance b/d			1980
3	Sales		580	6		Insurance	360		
17	Sales	140		9		GH Limited	196		
27	Disposal		50	13		Stationery	75		
31	Balance c/d			2246	30	Colin		340	
			290	2876	31	Balance c/d		215	
Apr 1	Balance b/d		215		Apr 1	Balance b/d	14	290	2876

OFOF

+ dates

1(b)

	Updating cash book	Bank reconciliation statement
Cheque from Burgess dishonoured	☐	
Cheque to Colin unrepresented		☐
Overdraft interest	☐	
Standing order paid for rates	☐	

1(c) Advantages

Loan interest may be lower than overdraft interest
 No interest on overdraft to pay
 Have a longer time to repay a loan
 May improve relationship with bank
 Bank balance would be improved/liquidity would be improved
 New office furniture should lead to a better working environment

(Max 2)

Disadvantages

Loan will have to be repaid
 Loan interest will have to be paid
 Early repayment may not be allowed
 The bank may require security
 No income/profit is generated from the office furniture

(Max 2)

Recommendation

END OF ANSWER

Question 02 | Oct/Nov 2022 Paper 22 Question 3 - 20 marks

3(a) MG

			Cash book (bank columns only)		
Date	Details	\$	Date	Details	\$
2022			2022		
Aug 31	Balance b/d	25 600	Aug 31	RJ (dis cheque)	420
	Rates (S0)	50		Insurance (DD)	110
				Bank charges	75
				Balance c/d	25 045
					25 650
		25 650			
Sep 1	Balance b/d	25 045 OF			

3(b) MG

Bank reconciliation statement at 31 August 2022	
	\$
Balance shown in cash book	25 045 OF
Add unrepresented cheques JW	680
	25 725
Less uncredited deposits TH	(910)
Balance shown on bank statement	24 815
Alternative presentation:	
	\$
Balance shown on bank statement	24 815
Add uncredited deposits TH	910
	25 725

Less unpresented cheques JW	(680)
Balance shown in cash book	25 045 0F

3(c) Identify/correct either errors or omissions in the cash book

Identify errors on the bank statement
 Update the cash book/obtain correct bank balance
 Assist in discovering fraud/deter or reduce risk of fraud
 Identify amounts not credited
 Identify cheques not presented
 Identify out-of-date (stale) and dishonoured cheques

3(d) Insufficient funds in the bank account

No/incorrect signature
 No date
 No amount
 No payee
 Words and figures disagree

3(e) A standing order is when a person instructs their bank to pay a fixed sum at fixed intervals to another person

Definition: direct debit permission given named person collect bank dates amounts

can vary

3(f) Accept - Order

Sales/revenues will increase
 May lead to future orders
 Increase in profit for the year
 Could lose order if no discount given
 Decline - Order
 Existing customers may request a similar discount
 Reduction in profit if discount given to all existing customers
 May damage relationship of existing customers
 Reduction in gross margin
 Recommendation

END OF ANSWER

Question 03 | Oct/Nov 2023 Paper 21 Question 1 - 20 marks

1(a)(i) Shakir

				Journal			
Date		Details		Debit	Credit		
				\$	\$		
2023							
1 Sep	Motor vehicle			9 500		}	
	Inventory			1 240		}	
	Bank			1 682		}	
	Latif				200	}	
	Harrison				237	}	
	Capital				11 985}		
				12 422	12 422	}}}}	

1(a)(ii) Full details are available about the assets, liabilities, revenues and expenses of the business

The preparation of financial statements is relatively straightforward

Key point: calculation profit loss year likely reliable accurate

More informed decision-making is possible

Key point: greater degree control activities exercised

The possibility of fraud is reduced

Key point: Comparisons results previous years businesses

Detailed records are available for reference purposes

Key point: Information required bank lender readily available

1(b) Shakir 11

				Cash Book								
Date		Details		Disc Alld	Cash	Bank	Date	Details	Disc Rec	Cash	Bank	
				\$	\$	\$	2023		\$	\$	\$	
2023												
Sep 1	Balance	b/d			1 682	Sep 2	Rent			420		
	Bank		350		4	Cash		350				
	Sales	}				290	7	Latif	6			
17									194			

END OF ANSWER

3.4 Control accounts

Question 01 | Oct/Nov 2021 Paper 22 Question 1 - 20 marks

1(a) Ayesha 14

Sales ledger control account					
Date	Details	\$	Date	Details	\$
2021			2021		
Aug 1	Balance b/d	9 800	Aug 1	Balance b/d	420
31	Sales 88 850		31	Bank 82 100	
	Interest 90			Discount allowed 900	
	Balance c/d	350		Irrecoverable debts 300	
				Sales returns 2 400	
				Contra 2 920	
				Balance c/d	10 050
		99 090			99 090
2021			2021		
Sep 1	Balance b/d0F	10 050	Sep 1	Balance b/d	350

Purchases ledger control account					
Date	Details	\$	Date	Details	\$
2021			2021		
Aug 31	Bank 50 600		Aug 1	Balance b/d	7 700
	Discount received 600		31	Purchases 55 400	
	Contra 2 920				
	Balance c/d	8 980			
		63 100			63 100
			2021		
			Sep 1	Balance b/d0F	8 980

1(b)

Item	Book of prime entry
Returns	Sales returns journal
Discount allowed	Cash book
Interest charged to customer on overdue account	General journal/Journal
Contra entry	General journal/Journal

1(c) Overpayment by credit customer

Credit customer returned goods after settling the account
 Credit customer paid for goods in advance
 Payment by credit customer before cash discount was deducted

END OF ANSWER

Question 02 | Feb/Mar 2022 Paper 22 Question 2 - 20 marks

2(a) Ravi

Sales ledger control account					
Date	Details	\$	Date	Details	\$
2021			2021		
Feb 1	Balance b/d	12 510*	Feb 1	Balance b/d both	1 245*
2022			2022		
Jan 31	Sales 134 000		Jan 31	Bank 96 250	
	Interest charged 1 104			Cash 12 890	
				Sales returns 4 000	
				Irrecoverable debts 9 100	
				Contra entries 1 677	
				Discount allowed 4 643	
				Balance c/d	17 809
2022		147 614			147 614
Feb 1	Balance b/d0F	17 809			

*for both opening balances

2(b) Prudence

2(c)(i) Bank manager

Level of trade receivables may influence bank's decision

Key point: bank believes trade receivables too high wish lend Risk: trade receivables too high adequate funds repay loan bank overdraft interest Risk: trade receivables too low adequate funds repay loan bank overdraft interest

2(c)(ii) Trade payables

Level of trade receivables may influence trade payable's decision

Key point: trade payable believes receivables insufficient decide supply continue

cash terms only

Key point: trade receivables high adequate funds pay payables

2(d) Reasons for employing a credit controller

Should result in lower irrecoverable debts

Should control the amount owed by trade receivables

Risk: Payments trade receivables likely received quickly collection period decreases Key point: Ravi time freed up carry out tasks Key point: salary credit controller irrecoverable debts

Reasons for not employing a credit controller

Have to pay an annual salary

Salary would be paid regardless of amount of debts recovered

No guarantee that all debts will be collected

Legal fees may be incurred for any legal action

Risk: Damage relationship customers buy different supplier lose customer loyalty

Could instead try to increase cash sales

Recommendation

END OF ANSWER

Question 03 | Oct/Nov 2022 Paper 22 Question 2 - 20 marks

2(a)

Item	Book of prime entry
Discount received from credit suppliers	Cash book
Purchases returns	Purchase returns journal
Contra entries	General journal
Interest charged by credit suppliers	General journal

2(b) A balance on a purchase ledger account is transferred to an account for the same business in the sales ledger

Key point: Purchase ledger debited sales credited

2(c) MC

Purchase ledger control account		
Date	Details	\$
2022		
Jul 1	Balance b/d	130 *
31	Purchase returns	9 800
	Bank	228 200
	Discount received	12 900
	Cash	500
	Contra	2 260
	Balance c/d	27 540
		281 330
Aug 1	Balance b/d	180 **

Date	Details	\$
2022		
Jul 1	Balance b/d	21 400* both
31	Purchases	259 600
	Interest charges	150
	Balance c/d	180
		281 330
Aug 1	Balance b/d	27 540 0F** both

2(d) Reduce cost of goods/increase gross profit/lower selling price

Reliability of new supplier/guaranteed supplier

Must consider whether low price will be maintained/currency fluctuations

Must consider whether goods will be of an acceptable quality

Possible language differences/difficulty of communications

May be more difficult in case of problems/disputes

May experience delivery problems

Contract is binding for one year

Recommendation

END OF ANSWER

Question 04 | Feb/Mar 2023 Paper 22 Question 3 - 20 marks

3(a) Lucas

Sales ledger control account		
Date	Details	\$
2023		
Jan 1	Balance b/d	14 940
31	Sales	12 736
	Cash	

Date	Details	\$
2023		
Jan 31	Returns inwards	920
	}	685

Bank	10 620
Irrecoverable debts	140
Contra	180
Balance c/d	15 131
	27 676

Feb 1 Balance b/dOF 15 131 27 676

3(b) Lucas

Purchases ledger control account					
Date	Details	\$	Date	Details	\$
2023			2023		
Jan 31	Returns outwards	463	Jan 1	Balance b/d	8 450
	Bank	6 675	31	Purchases	7 325
	Discount received	210		Interest	166
	Contra	180			
	Balance c/d	8 413			
		15 941			
			Feb 1	Balance b/dOF	8 413
					15 941

3(c) Assist in locating errors

Key point: proof arithmetical accuracy ledgers they control

Provide the total of trade receivables and trade payables immediately
Also valid: draft financial statements to be prepared quickly

Key point: Provide summary transactions affecting trade receivables payables

May help to reduce fraud

3(d) For selling the equipment to pay supplier

Release funds to pay most of amount outstanding/increase liquidity
Would reduce any interest supplier may charge
Would maintain good relationship with supplier
Would earn a profit on disposal

Key point: affect ability earn profit

New equipment could be purchased when funds are available

Against selling the equipment to pay supplier
May have to pay interest to the supplier

Key point: damage relationship supplier pay requested Key point: provide enough pay supplier full rest cash bank

May not be possible to operate efficiently without the equipment

Risk: cost replace equipment owing supplier Risk: consider obtaining money elsewhere trade receivables bank overdraft introducing capital etc

Recommendation

END OF ANSWER

Question 05 | Feb/Mar 2024 Paper 22 Question 2 - 20 marks

2(a)(i) Samir

Date	Details	Journal	Debit \$	Credit \$
2023				
Dec 31	Irrecoverable debts	178		
	Ria	178		
	Amount due from Ria written off due to bankruptcy.			

2(a)(ii) To comply with the prudence principle/avoid overstating the profit for the year/avoid overstating the trade receivables

Key point: comply matching principle ensure irrecoverable debt recognised year

sale was made

Key point: unlikely all amounts due trade receivable received

2(b) Samir

Sales ledger control account					
Date	Details	\$	Date	Details	\$
2023			2023		
Jan 1	Balance b/d	10 115	Dec 31	Sales returns	5 234
Dec 31	Sales	124 670		Cash	11 470
	Interest charged	139		Contra	1 833
				Discount allowed	3 125

				Irrecoverable debts	178	
				Balance c/d		14 464
			134 924			134 924
2024						
Jan 1	Balance b/d	14 464				

2(c)(i) Advantages:

Customers would pay the full amount of each invoice

Risk: Profit year increase expenses reduced

Book-keeping would be less complicated
 May improve relationship with trade payables/may reduce trade payables turnover
 May be able to obtain cash discount from trade payables
 Trade payables may charge interest if payment made late

Disadvantages:

Key point: incentive customers pay quickly take longer

Increased risk of irrecoverable debts
 Customers may buy less/go elsewhere/sales decrease/relationship with customers may deteriorate

Key point: half sales made cash removal cash discount limited effect

Recommendation

2(c)(ii) Increase selling price

Reduce other expenses
 Reduce drawings/introduce additional capital
 Apply for a short-term loan/overdraft
 Charge interest on overdue accounts
 Improve credit control

END OF ANSWER